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From the editor-in-chief

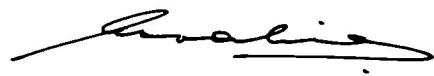
I thought I was quite a good judge of people. Last week after the Satyam scam broke, I realised I was wrong. I first met Ramalinga Raju at the time of the Internet boom some eight years ago. I even visited his impressive corporate campus outside Hyderabad. I found him to be a mild-mannered, simple, modest person. He didn't behave like the head of one of IT's bluechip companies which then had a market capitalisation of Rs 34,500 crore. Six weeks back I was surprised to get a call from him, saying he was in Delhi and wanted to meet. We chatted about the economic meltdown and he spoke at length about his charitable foundation which had set up a very successful statewide emergency call network with the Andhra Pradesh Government. He was the same as I met him eight years ago and had the relaxed demeanour of a man with whom all was well. I realised how wrong I was when I heard of the humungous fraud he had committed. The only cold comfort is that he fooled many more people who should have known better. What bigger irony can there be than him being given the Golden Peacock Award by the World Council for Corporate Governance? I am still trying to figure out his purpose for meeting me so close to his downfall.

There is a lot of speculation about why he did it. I think it can be summed up in one word: GREED. That is what has brought the whole world to its knees and Raju was bitten by the same bug. The buoyant money markets had created another great engine called valuations just like in the dotcom boom. The attitude of many was do whatever you can to keep your valuations rising. No wonder Raju was inflating his revenues to show high profits and margins so that his share price kept rising and he kept disinvesting. As a promoter he had a shareholding of 25.6 per cent in March 2001 and by the time the scam was exposed his holding was down to 3.6 per cent. How he fooled one of the most reputed auditors in the world is still to be unravelled.

In corporate terms, it is everyone's worst nightmare: a severe financial meltdown is crippling Indian industry and economic growth and now, a financial scandal of epic proportions about governance in India Inc that has turned the spotlight on the country's prize IT sector. The scam exposes the nexus between business and politics, the lack of regulation and scrutiny by official agencies like SEBI and the auditors and the vulnerability of family run companies with limited equity ownership, especially those where the younger generation have other businesses.

Our cover story looks at how corporate India's biggest scam was planned and carried out. Senior Editor Amarnath K. Menon who knew Raju well traces his meteoric rise in Hyderabad while Managing Editor Shankkar Aiyar puts the pieces of the puzzle together, including the impact on corporate India, the IT sector as well as India's image abroad, and whether the company and its employees have a future.

We put Raju on our cover in 1999 in a story titled Sultans of Silicon. From sultan he's now rotting in jail with other common thieves. There is some silver lining. We can expect more stringent monitoring of corporate governance like the greater focus on our security after the Mumbai terror attack. As for me, I won't be so quick on making a judgement on people.


(Aroon Purie)



OUR MARCH 15, 1999 COVER